Class 7 Social Science – Chapter 12: Understanding Markets

CBSE | Exploring Society: India and Beyond, Part 1 | Simple English Question–Answers

इस अध्याय के PDF के आधार पर नीचे सभी मुख्य विषयों के महत्वपूर्ण प्रश्न-उत्तर, पुस्तक के अंत में दिए गए सभी 10 प्रश्नों के हल, और परीक्षा की तैयारी के लिए अतिरिक्त संभावित प्रश्न सरल अंग्रेजी में दिए गए हैं। उत्तर कक्षा 7 के विद्यार्थियों के स्तर के अनुसार रखे गए हैं।

Part 1: Important Questions and Answers Topic-wise

Topic 1: What Is a Market?

Q1. What is a market?

Answer: A market is a place where people buy and sell goods and services. It can be a physical place or an online platform.

Q2. What are needs and wants?

Answer:

- Needs are things necessary for survival, such as food, water, clothing and shelter.
- Wants are things that a person desires but does not need for survival.

Q3. What is trade?

Answer: Trade is the buying, selling or exchange of goods and services between people or countries.

Q4. What are the main features of a market?

Answer: The main features of a market are buyers, sellers, goods or services, and an agreed price. Buyers and sellers interact to complete a transaction.

Q5. What is price?

Answer: Price is the amount at which a buyer is willing to buy and a seller is willing to sell a particular good or service.

Q6. What is bargaining?

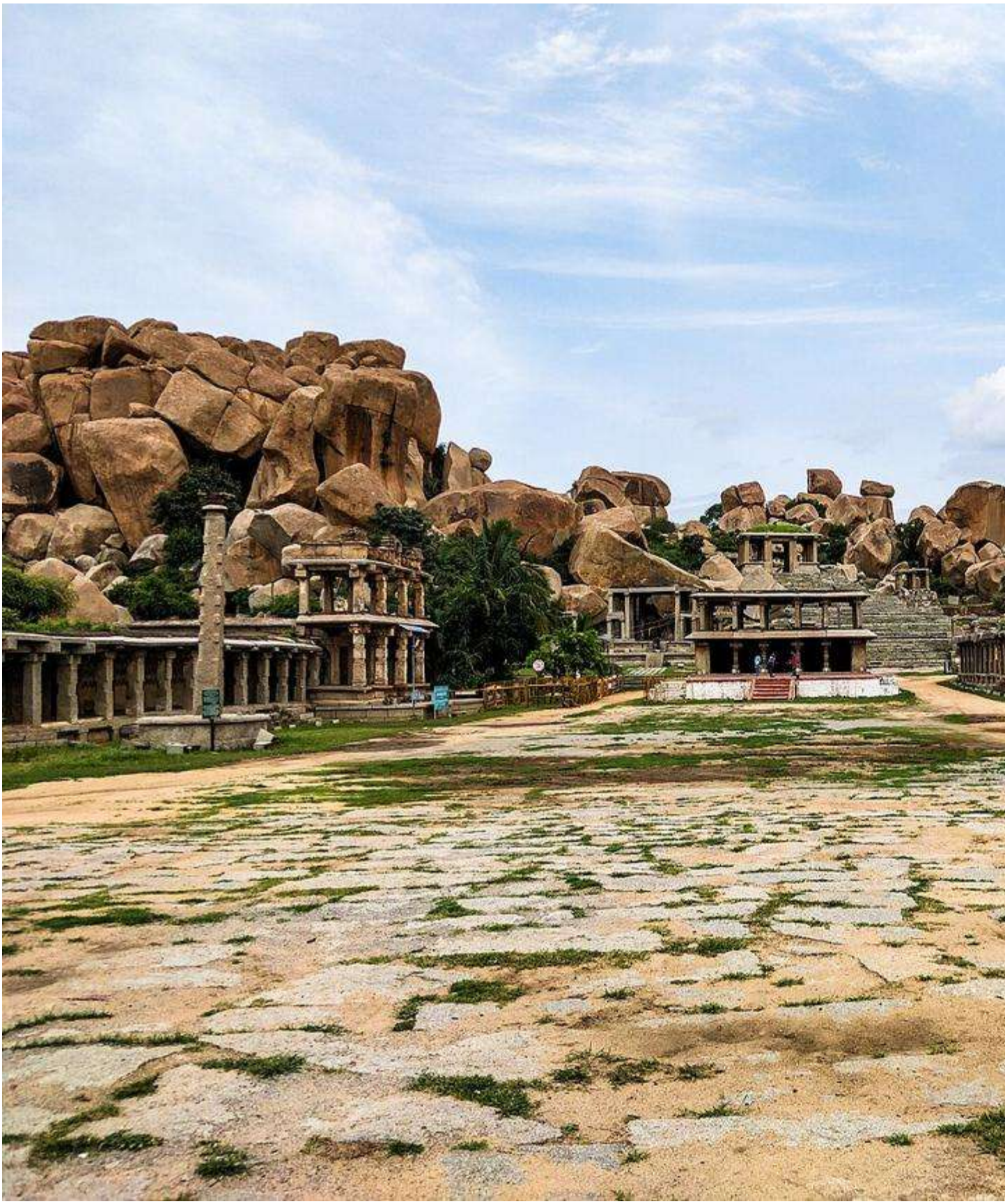
Answer: Bargaining is the process in which a buyer and a seller negotiate to agree on a suitable price.

Q7. Why are markets important in our daily lives?

Answer: Markets help us get the goods and services we need. They connect producers and consumers and support economic activities.

Topic 2: The Glorious Hampi Bazaar







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Q8. Where was Hampi Bazaar located?

Answer: Hampi Bazaar was located opposite the Virupaksha Temple in Karnataka.

Q9. Why was Hampi Bazaar famous?

Answer: Hampi Bazaar was famous for its prosperity and the wide variety of goods sold there.

Q10. Who was Domingos Paes?

Answer: Domingos Paes was a Portuguese traveller who described Hampi as one of the best-provided cities in the world.

Q11. What goods were sold in Hampi Bazaar?

Answer: Grains, seeds, milk, oil, silk, animals, birds, clothes, gold jewellery, rubies, diamonds and pearls were sold there.

Q12. What does Hampi Bazaar tell us about markets in the past?

Answer: It tells us that markets existed long ago and supported trade, crafts and prosperity.

Topic 3: Prices and Markets

Q13. How are prices determined in a market?

Answer: Prices are influenced by the demand from buyers and the supply of goods by sellers. Buyers and sellers may negotiate until they agree on a price.

Q14. What happens if a seller fixes a very high price?

Answer: Buyers may refuse to buy the goods. The seller may lose customers and have to reduce the price.

Q15. What happens if a seller fixes a very low price?

Answer: Buyers may be happy, but the seller may not earn enough profit. The seller may not be willing to continue selling at that price.

Q16. What happens when buyers and sellers agree on a price?

Answer: The transaction can take place because both the buyer and the seller accept the price.

Q17. What are demand and supply?

Answer:

- Demand: The quantity of a product or service that consumers are willing and able to buy at a particular price and time.
- Supply: The quantity of a product or service that sellers are willing and able to sell at a particular price and time.

Q18. Why are vegetables sometimes cheaper late at night in a weekly market?

Answer: Sellers may reduce prices to sell their remaining vegetables before the market closes. This also helps prevent wastage.

Q19. Why do shops offer discounts on woollen clothes at the end of winter?

Answer: Demand for woollen clothes decreases after winter. Shops offer discounts to clear their remaining stock.

Topic 4: Types of Markets

Q20. What is a physical market?

Answer: A physical market is a place where buyers and sellers can meet in person to buy and sell goods or services. Examples include weekly markets, local shops and malls.

Q21. What is an online market?

Answer: An online market allows buyers and sellers to trade through websites or mobile applications without meeting physically.

Q22. Write three advantages of online shopping.

Answer:

1. We can shop from home.
2. We can choose from many products.
3. Goods can be delivered to our doorstep.

Q23. Write three disadvantages of online shopping.

Answer:

1. We cannot physically examine the goods before buying.
2. Delivery may be delayed.
3. The product received may differ from what we expected.

Q24. What are the advantages of physical markets?

Answer: Buyers can examine goods directly, ask questions, bargain and take their purchases home immediately.

Q25. What are the disadvantages of physical markets?

Answer: Buyers may need to travel, spend time and money, and visit several shops to compare products.

Q26. What is a domestic market?

Answer: A domestic market is a market where goods and services are bought and sold within the geographical boundaries of a country.

Q27. What is an international market?

Answer: An international market involves buying and selling goods and services across the boundaries of different countries.

Q28. What is an export?

Answer: Export means selling goods or services produced in one country to buyers in another country.

Q29. What is an import?

Answer: Import means buying goods or services from another country and bringing them into one's own country.

Q30. What is a wholesale market?

Answer: A wholesale market is a market where goods are bought and sold in large quantities, usually for resale.

Q31. What is a retail market?

Answer: A retail market serves final consumers by selling goods in smaller quantities for personal use.

Q32. Differentiate between wholesale and retail markets.

Wholesale Market	Retail Market
Goods are sold in large quantities.	Goods are sold in smaller quantities.
Buyers are usually retailers or other businesses.	Buyers are usually final consumers.
Goods are generally purchased for resale.	Goods are purchased for consumption.

Q33. What is a stock market?

Answer: A stock market is a market where shares and other financial securities are bought and sold. It is different from a market for ordinary goods.

Topic 5: The Chain of Supply in Markets

Q34. What is a manufacturer?

Answer: A manufacturer is a person or company that makes goods for sale.

Q35. What are inputs for production?

Answer: Inputs are materials or resources used to produce goods and services.

Q36. Who is a wholesaler?

Answer: A wholesaler buys goods in large quantities from producers or manufacturers and sells them to retailers or other businesses.

Q37. What is the role of a retailer?

Answer: A retailer sells goods in small quantities directly to final consumers.

Q38. Who are distributors?

Answer: Distributors are individuals or businesses that supply goods from manufacturers and wholesalers to retailers.

Q39. What is an aggregator in an online market?

Answer: An aggregator is a website or mobile application that brings together offers from different sellers and makes them available to consumers in one place.

Q40. What is cold storage?

Answer: Cold storage is a special facility that maintains low temperatures to preserve perishable goods such as fruits and vegetables.

Q41. Explain the movement of goods from producers to consumers.

Answer: Goods generally move through the following chain:

Raw Materials

Producers / Manufacturers

Warehouses and Distributors

Wholesalers

Retailers

Final Consumers

Q42. How does the supply chain help consumers?

Answer: It helps goods reach consumers from different places. It also supports storage, transportation and the regular supply of products.

Q43. Describe the textile market of Surat.

Answer: Surat in Gujarat is an important textile centre. Raw cotton comes from nearby cotton-growing regions. Factories process it through weaving and dyeing to produce fabrics and garments. Wholesalers then distribute the finished products to shops and markets in India and other countries.

Q44. Why is Surat an important trading centre?

Answer: Surat has a strong textile and diamond industry. Its ports, roads, railway network and skilled workers have helped trade develop over many centuries.

Topic 6: The Role of Markets in People's Lives

Q45. What is the main role of markets in people's lives?

Answer: Markets connect producers and consumers. They help people obtain goods and services that they cannot produce themselves.

Q46. How do markets benefit society?

Answer: Markets provide goods and services, create employment, support businesses and help producers understand what consumers need.

Q47. How can consumer demand influence production?

Answer: When many consumers demand a particular product, producers may increase its production. For example, demand for energy-efficient refrigerators can encourage manufacturers to produce more such refrigerators.

Q48. Do markets have a social role apart from buying and selling?

Answer: Yes. Markets bring people together, develop relationships, and encourage the exchange of ideas, traditions and cultures.

Q49. What is Ima Keithal? Why is it important?

Answer: Ima Keithal, also called Mother's Market, is a market in Imphal, Manipur. About 3,000 women own and run its shops. It provides employment, supports families and brings different communities together.

Q50. How can markets help artists sell their work?

Answer: Artists can sell their work through exhibitions, art shops, fairs and online platforms. These markets help them reach more buyers and earn money.

Topic 7: Government's Role in the Market

Q51. Why does the government intervene in markets?

Answer: The government intervenes to protect consumers and producers, ensure fair prices, maintain quality and safety standards, and reduce harmful effects on society.

Q52. How does the government control prices?

Answer: The government may set a maximum price for certain essential goods and a minimum price for selected agricultural products. It also sets minimum wages to help ensure fair payment to workers.

Q53. Why does the government set a maximum price for some goods?

Answer: It helps protect consumers from excessively high prices, especially for essential goods and services such as life-saving medicines.

Q54. Why does the government set minimum prices for some agricultural products?

Answer: Minimum prices help protect farmers from receiving very low prices for their produce and reduce the risk of losses.

Q55. What may happen if price limits are not set carefully?

Answer: If prices are too low, producers may lose the motivation to produce. If prices are too high, consumers may suffer.

Q56. How does the government ensure quality and safety standards?

Answer: The government makes rules for manufacturers, approves certain products such as medicines and tests samples to check whether they meet quality and safety standards.

Q57. What are the external effects of markets?

Answer: External effects are effects of economic activities on people or the environment beyond the direct buying and selling. For example, factory pollution can harm the environment and human health.

Q58. How does the government control the harmful effects of markets?

Answer: It introduces rules and regulations to control pollution, reduce health risks and protect the environment.

Q59. What are public goods? Give examples.

Answer: Public goods are goods or services made available to members of society. Examples given in the chapter include public parks, roads and policing.

Q60. Why does the government provide public goods?

Answer: Private producers may not provide some goods and services because they do not expect to make a profit from them. The government provides these goods and services for public welfare.

Q61. Why should the government make rules for markets?

Answer: Rules help markets function fairly, protect consumers from exploitation and ensure that goods and services meet required standards.

Topic 8: How Can Consumers Assess Quality?

Q62. Why should consumers check the quality of products?

Answer: Consumers should check quality to ensure that products are safe, useful, reliable and worth their money.

Q63. What information should consumers check on a packaged food product?

Answer: They should check the net quantity, date of manufacture, best-before date, maximum retail price (MRP), manufacturer's name and address, ingredients, nutrition facts, allergen declaration and relevant certification details.

Q64. What is FSSAI?

Answer: FSSAI stands for the Food Safety and Standards Authority of India. It is responsible for food safety and standards. Its mark and licence details help consumers identify regulated food businesses and assess compliance with applicable requirements.

Q65. What is the ISI mark?

Answer: The ISI mark is a certification mark associated with the Bureau of Indian Standards (BIS). It is used on specified products to indicate conformity with relevant standards.

Q66. What is AGMARK?

Answer: AGMARK is a certification mark used for specified agricultural products, such as cereals, pulses, spices and honey.

Q67. What is a BEE Star Rating?

Answer: BEE stands for Bureau of Energy Efficiency. Its star rating helps consumers compare the energy efficiency of appliances. Generally, a higher star rating means lower electricity consumption for comparable products under the applicable rating scheme.

Q68. How do online reviews help consumers?

Answer: Online reviews and feedback from other consumers help buyers understand other people's experiences and make better purchasing decisions.

Q69. How does a product's reputation influence buyers?

Answer: Buyers may prefer a product that is trusted by others. Recommendations from friends and relatives, along with positive experiences, can improve a product's reputation.

Q70. Why are labels and certification marks important?

Answer: They help consumers identify product details and check whether products meet relevant quality, safety or efficiency standards.

Part 2: Answers to All Textbook Questions

The following answers correspond to Questions 1–10 on pages 271–272 of the uploaded chapter.

Q1. What are the main features of a market? Recall a recent visit to a market. What features did you observe?

Answer: The main features of a market are buyers, sellers, goods or services, and an agreed price. During a visit to a vegetable market, I observed that sellers displayed vegetables, buyers asked about prices, and some buyers bargained with sellers. After agreeing on a price, they purchased the vegetables.

Q2. Discuss the relevance of Adam Smith's statement at the beginning of the chapter.

Answer: Adam Smith said that prosperity develops through markets when people need goods and services that they cannot produce themselves. This statement is relevant because markets connect producers with consumers. Farmers sell food, factories produce clothes and shops make these goods available to people. Markets support trade, employment and economic growth.

Q3. If a guava seller earns a good profit, what is the farmer likely to do? Will the farmer think about demand in the next season?

Answer: The farmer may grow more guavas in the next season because the seller is earning a good profit. The farmer will also consider the demand for guavas. If demand is high, the farmer may increase production. If too many guavas are produced, prices may fall and the farmer may suffer losses.

Q4. Match the following types of markets with their characteristics.

Type of market	Correct characteristic
1. Physical market	Requires physical presence of buyers and sellers
2. Online market	Buyers and sellers meet virtually and can transact at convenient times
3. Domestic market	Lies within the boundaries of a nation
4. International market	Goods and services flow across national boundaries
5. Wholesale market	Deals in bulk quantities
6. Retail market	Serves final consumers with goods and services

Q5. Can prices be high even when only a few buyers demand a product? What could be the reasons?

Answer: Yes, prices can be high even when only a few buyers demand a product. This may happen when the product is rare, expensive to produce or difficult to obtain. For example, rare paintings and precious stones may have high prices because they are scarce and require special skills to produce or obtain.

Q6. Why might a family buy beans at ₹40 per kg from a supermarket instead of ₹30 per kg from a vegetable seller? Are factors other than price involved?

Answer: The family may prefer the supermarket because the beans are neatly packed and the shop may provide a clean shopping environment. The family may also trust the quality, packaging and weighing system of the supermarket.

Yes, factors other than price affect buying decisions. These include quality, cleanliness, convenience, packaging, trust and the shopping experience.

Q7. Why do farmers sometimes throw away tomatoes when there is a large harvest? What can wholesalers do? How can waste and losses be reduced?

Answer: Farmers may throw away tomatoes when the supply is much greater than the demand. Prices may fall so low that the cost of harvesting, packing and transporting tomatoes is greater than the money farmers can earn.

Wholesalers can help by purchasing tomatoes in large quantities and distributing them to different markets.

Waste and losses can be reduced by:

1. Improving cold storage and transportation facilities.
2. Sending tomatoes to markets where demand is higher.
3. Processing tomatoes into puree, sauce and other products.
4. Connecting farmers directly with buyers.
5. Planning production according to expected demand.

Q8. How do students conduct selling and negotiation at a school carnival or fair?

Answer: At a school carnival, students may set up stalls selling food, handmade items, games or crafts. They decide prices, display their products and explain their features to buyers. They may negotiate prices and offer discounts. Buyers choose products according to their needs, preferences and budgets.

Q9. Choose five products and check their certification marks. Why might some products not have a logo?

Answer: The following examples show the certification marks that may be found on relevant products.

Product	Certification or label to check
Packaged flour	FSSAI details
Packaged honey	AGMARK, where applicable
Electrical appliance	Applicable BIS/ISI mark
Refrigerator	BEE Star Rating, where applicable
Specified construction material	Applicable BIS/ISI mark

Some products may not display a particular certification logo because that certification is not applicable to them, the product is not covered by the relevant certification scheme, or the mark is not required for that product. Consumers should check the applicable rules and product label.

Q10. Design a label for a soap bar manufactured by your class. What information should be included?

Answer: A soap label should contain the following information:

FRESH CARE SOAP

Clean • Fresh • Gentle



- Product name: Fresh Care Soap
- Net weight: 100 g
- Ingredients: List all ingredients used.
- Date of manufacture: DD/MM/YYYY
- Batch number: FC001
- MRP: ₹___ (inclusive of applicable taxes)
- Manufacturer: Name and address of the school project team
- Directions for use: For external use only; avoid contact with eyes.
- Warnings: Mention any relevant precautions or allergens.
- Customer care details: Contact information, if applicable.

This is a sample educational label. In an actual commercial product, the label must follow the applicable packaging and labelling rules.

Part 3: More Important and Expected Exam Questions

These additional questions cover the remaining concepts and applications from the chapter.

A. Very Short Answer Questions (1 mark)

Q1. What is a transaction?

Answer: A transaction is an exchange involving the buying or selling of goods or services.

Q2. What is a bazaar?

Answer: A bazaar is a market where people buy and sell goods.

Q3. Name two examples of physical markets.

Answer: Weekly markets and shopping malls.

Q4. Name two goods that India imports.

Answer: Crude petroleum and vegetable oils.

Q5. Name two goods that India exports.

Answer: Pharmaceutical products and refined petroleum products.

Q6. What is a godown?

Answer: A godown is a warehouse used to store goods.

Q7. Why are perishable goods kept in cold storage?

Answer: They are kept in cold storage to slow spoilage and preserve their quality.

Q8. What does MRP stand for?

Answer: MRP stands for Maximum Retail Price.

Q9. What does BIS stand for?

Answer: BIS stands for Bureau of Indian Standards.

Q10. What does BEE stand for?

Answer: BEE stands for Bureau of Energy Efficiency.

Q11. Name the market run by women in Imphal.

Answer: Ima Keithal, also called Mother's Market.

Q12. In which state is Hampi Bazaar located?

Answer: Karnataka.

B. Short Answer Questions (2–3 marks)

Q13. Why do buyers and sellers bargain?

Answer: Buyers bargain to get a lower price, while sellers try to earn a reasonable profit. They negotiate until they agree on a price acceptable to both.

Q14. Why are wholesalers important?

Answer: Wholesalers buy goods in large quantities from producers and supply them to retailers. They help distribute goods, manage stock and maintain a regular supply.

Q15. How do distributors help markets?

Answer: Distributors connect manufacturers and wholesalers with retailers. They help goods reach shops in different places, especially where direct supply is difficult.

Q16. How do online markets help manufacturers?

Answer: Online markets allow manufacturers to sell goods to a wider range of customers. Manufacturers can also buy raw materials and components online.

Q17. Why is it important to check the manufacturing and best-before dates?

Answer: These dates help consumers understand when a product was made and how long it is expected to retain its quality under the stated conditions.

Q18. Why should consumers check the ingredients list?

Answer: It helps consumers understand what a product contains and identify ingredients that may be unsuitable for them.

Q19. How do markets create employment?

Answer: Markets provide work for farmers, factory workers, transporters, wholesalers, retailers, delivery workers and many service providers.

Q20. Why can too many government rules create problems for markets?

Answer: Too many rules can increase costs and make buying, selling and production more difficult. Rules should protect people while allowing markets to function properly.

C. Long Answer Questions (4–5 marks)

Q21. Explain the different types of markets with examples.

Answer: Markets can be classified in different ways.

1. Physical markets: Buyers and sellers meet in person. Examples include weekly markets and malls.
2. Online markets: Transactions take place through websites and mobile applications.
3. Domestic markets: Buying and selling take place within one country.
4. International markets: Trade takes place between different countries.
5. Wholesale markets: Goods are bought and sold in bulk quantities.
6. Retail markets: Goods are sold in smaller quantities to final consumers.

Q22. Explain the role of the government in markets.

Answer: The government plays an important role in making markets fair and safe.

1. It may control the prices of certain essential goods.
2. It sets minimum prices for selected agricultural products and minimum wages for workers.
3. It establishes quality and safety standards.
4. It regulates harmful activities such as environmental pollution.
5. It provides public goods such as roads, public parks and policing.

Thus, the government helps protect consumers, producers and society.

Q23. Explain how consumers can assess the quality of products.

Answer: Consumers can assess product quality in several ways.

1. Check the price, quantity and product description.
2. Read the manufacturing date and best-before date.
3. Examine the ingredients and nutrition information.
4. Check relevant certification marks such as FSSAI, ISI/BIS, AGMARK and BEE Star Rating.
5. Read online reviews and seek recommendations from trusted people.

These steps help consumers make informed purchasing decisions.

Q24. Explain how markets benefit society beyond buying and selling.

Answer: Markets have both economic and social importance.

- They provide goods and services to people.
- They create jobs and income.
- They help producers understand consumer needs.
- They bring people from different communities together.
- They encourage the exchange of ideas, cultures and traditions.
- They can build long-term relationships between buyers and sellers.

Therefore, markets contribute to both economic development and social life.

Q25. What are the main differences between physical and online markets?

Answer:

Physical Markets	Online Markets
Buyers and sellers meet in person.	Buyers and sellers transact virtually.
Goods can usually be examined directly.	Buyers rely on product descriptions, images and reviews.
Goods may be taken home immediately.	Goods are often delivered later.
Bargaining may be possible.	Prices may be fixed or discounts may be offered.
Buyers usually visit a particular location.	Buyers can shop remotely using digital devices.

Part 4: Quick Revision Notes

Learn these key facts before the examination.

Market

A place or platform where buyers and sellers exchange goods and services.

Demand and supply

Demand comes from buyers; supply comes from sellers. Their interaction influences prices.

Supply chain

Producers → Distributors and wholesalers → Retailers → Consumers. Warehouses and other intermediaries also support this process.

Government

Protects consumers, regulates prices and quality where appropriate, controls harmful external effects and provides public goods.

Quality marks

FSSAI: food safety; ISI/BIS: relevant product standards; AGMARK: agricultural products; BEE: energy efficiency.

Practice Test

8 multiple-choice questions

1. What determines prices through the interaction of buyers and sellers?

Demand and supply
Weather only
Packaging only
Government buildings

2. Who sells goods directly to final consumers?

Manufacturers only
Retailers
Raw material suppliers
Exporters only

3. What is an export?

Buying goods from another country
Storing goods in a warehouse
Selling goods to another country
Selling goods only in a local shop

4. Which mark is associated with food safety in India?

BEE
AGMARK only
FSSAI
MRP

5. Which market deals in bulk quantities?

Retail market
Wholesale market
Only online retail
Stock market only

6. What is the main purpose of cold storage?

To increase prices
To preserve perishable goods
To manufacture clothes
To advertise products

7. Where is Ima Keithal located?

Karnataka
Gujarat
Manipur
Rajasthan

8. What does a higher BEE star rating generally indicate?

Higher electricity consumption
Lower energy efficiency
Better energy efficiency
Higher product weight
Check Answers

Exam tip: First learn the definitions of market, demand, supply, export, import, wholesaler, retailer and aggregator. Then practise the ten textbook questions and the long answers on the government's role and consumer protection. These cover the chapter's main learning points.